Quillmark

THE NUMBERS CASE · A DECISION MODEL FOR BUSINESS #3

Numbers Can’t Lie

No hype, no feelings — just the unit economics, the cash-flow curve, the probability-weighted expected value, the true cost of your hours, and a numeric go/no-go gate. Built so the decision to add a third business is made on math, not mood.

Companion to **The Built-In Package** · A **BNBHubs** venture · v1.0

Figures grounded in current (2026) benchmarks. Planning estimates for decision-making, not guarantees.

The question this answers

“I don’t want to move on feeling. Do the numbers justify a third business?” That is a yes/no question with a numeric answer. This document builds it from the bottom up — one order, then one month, then one year, then the full risk-weighted bet — and ends on an explicit gate with thresholds you can hold me (and yourself) to.

profit / order
$9.68
≈36% margin, after every fee

cash payback
~month 6
base case repays startup

2-yr expected value
+$10.5k
probability-weighted

max cash at risk
<$600
the entire downside

The shape of the answer (so you know where this lands)

The math says **YES — as a small, bounded bet**: the downside is capped at a few hundred dollars and some front-loaded hours, while the upside is large and uncapped, so the expected value is strongly positive *even using pessimistic odds*. The math says **NO** only if you treat it as fast cash or let it steal hours from your two proven engines. The numbers reward it as an **asset-building sprint**, not a wage.

Read these five numbers in order

1. The base rate (who actually makes money) → **2.** Unit economics (one order) → **3.** The cash-flow curve (one year) → **4.** Expected value (the weighted bet) → **5.** The true cost of your time. Then the decision gate.

1 · The base rate — what happens to everyone else

Start with the most uncomfortable number, because numbers can't lie: **about 65% of Etsy sellers make less than $100 per year.** Any honest case has to begin here.

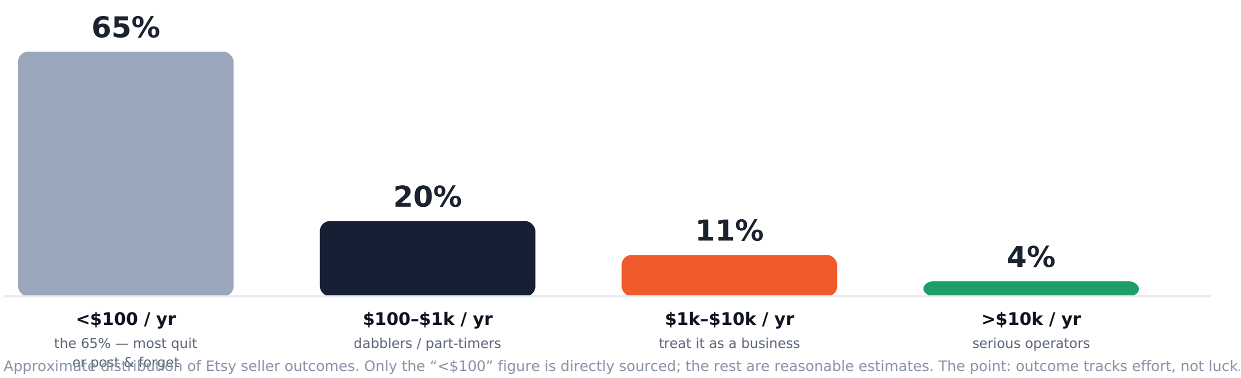

Figure 1 — Roughly how Etsy seller outcomes split. Most earn almost nothing; a minority build real income.

But that number is not what it looks like

The 65% is not a coin flip you lost — it is dominated by people who **opened a shop, posted a few listings, and quit.** The data is blunt about what separates the two groups:

The 65% who earn ~nothing	The minority who earn $1k–$10k+/mo
A handful of listings	Large, growing catalog (100s of listings)
Generic designs, no niche	Specific niche + point of view
No SEO on titles/tags	Every listing keyword-optimized
Quit at 4–8 weeks	Persist past the 6–12 month ramp
No reviews / proof	Harvest reviews relentlessly
Guess	Validate with data, kill losers

Why this matters for your decision

Your odds are **not** the unconditional 65%. You arrive with an agent pipeline that produces listings at volume, SEO at scale, and the discipline to kill losers — exactly the inputs that separate the two columns. The base rate is a warning about *behavior*, not a ceiling on outcome. That is the single biggest reason the numbers can work for you when they don't for most.

Sourced: 65% of Etsy sellers earn <$100/yr; first sale typically in 2–4 weeks; consistent income takes 6–12 months; year-one active sellers average ~$2,200–$8,000. See Sources.

2 · Unit economics — the truth of one order

Everything scales from a single order. Here it is to the cent, on the most common product (a unisex tee at $26.99 with shipping baked into the price), on Etsy, US fees, Printify base cost.

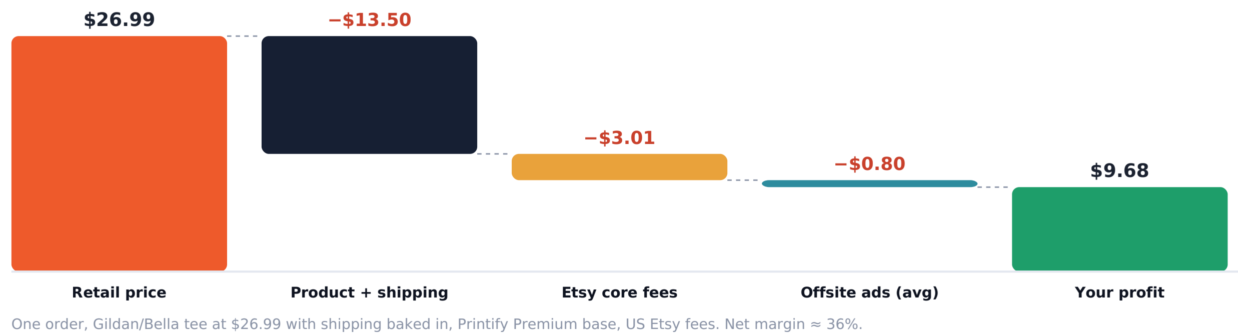

Figure 2 — Contribution-margin waterfall for one order. You keep $9.68 of $26.99 ≈ 36%.

Line	Amount	Note
Retail price (shipping included)	$26.99	what the buyer pays
− Product base cost	−$9.00	Printify Premium tee
− Shipping (you pay Printify)	−$4.50	carrier cost
− Etsy transaction fee (6.5%)	−$1.75	on price + shipping
− Payment processing (3% + $0.25)	−$1.06	US rate
− Listing fee	−$0.20	renews on each sale
− Offsite Ads (avg allocation)	−$0.80	15% on ~1 in 5 orders
= Net profit / order	**$9.68**	**≈ 36% margin**

The same order on each channel & product

Scenario	Retail	Net profit	Margin
Tee on Etsy (above)	$26.99	$9.68	36%
Tee on Shopify (no Etsy fees, you bring traffic)	$26.99	$11.40	42%
Mug (entry product)	$14.99	$5.90	39%
Hoodie (premium)	$48.99	$18.50	38%

Scenario	Retail	Net profit	Margin
Tee via Printful instead of Printify	$26.99	$6.90	26%

Two levers the numbers reward immediately

Supplier choice: Printify over Printful adds ~$2.78 to *every* tee — that is +40% profit per order for one setting. **Channel mix:** Etsy buys you traffic but taxes ~11%; Shopify keeps the fee but you must supply the visitors. Run both: Etsy to discover winners, Shopify to bank margin.

Fixed costs (the monthly nut to clear)

Path	Monthly fixed	Break-even orders / mo
Lean (Etsy + Printify free)	~$0	≈ 1 (profitable on first sale)
Standard (Printify Premium $29 + Canva $13)	~$42	≈ 4–5 orders
+ Shopify Basic ($39)	~$81	≈ 8–9 orders

3 · The cash-flow curve — one year, three scenarios

A new store loses a little before it earns — the "J-curve." The real question is **how deep the dip is and when it turns positive.** For Quillmark the dip is tiny because there is no inventory to buy.

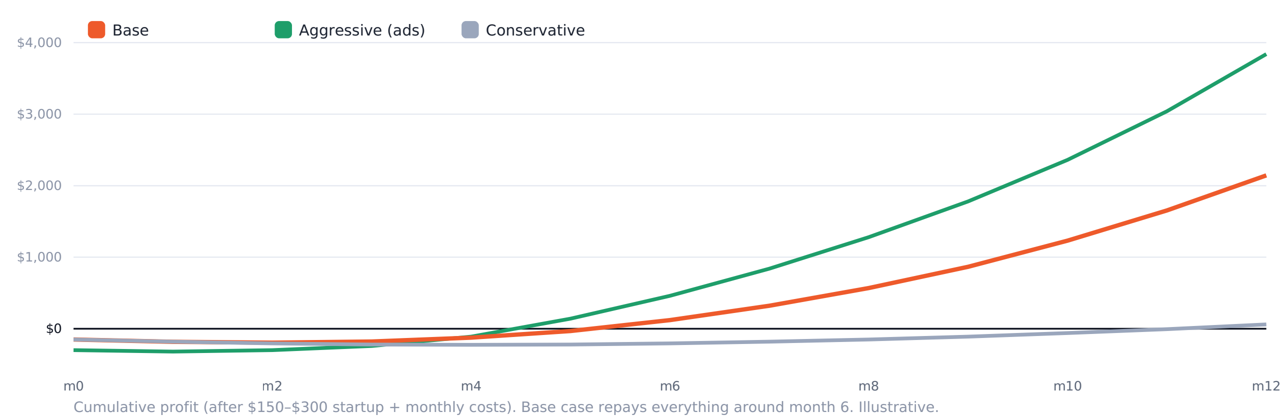

Figure 3 — Cumulative profit over Year 1. The deepest the base case ever goes is about −$195. That is the whole financial risk.

	Conservative	Base	Aggressive (+ads)
Orders/mo by month 12	~12	~55	~160
Revenue/mo by month 12	~$324	~$1,485	~$4,320
Profit/mo by month 12	~$74	~$490	~$1,200

	Conservative	Base	Aggressive (+ads)
Worst cumulative point	−$295 (m6)	−$195 (m2)	−$320 (m1)
Cash payback month	~m12+	~month 6	~month 5
Year-1 cumulative profit	~−$70	~+$2,140	~+$3,840

What the J-curve really says

The maximum you are ever ‘down’ is roughly **$200–$320** — less than a single month of most subscriptions. There is no scenario here where you lose thousands, because there is no stock to buy and no lease to sign. **The downside is structurally capped.** That is the property that makes this a rational bet.

Month-by-month model assumes $9.68 net/order (base), ~$42/mo fixed, $150 startup. Aggressive assumes ad-funded volume at a lower ~$7.50 net/order. Illustrative, not a forecast.

4 · Expected value — the whole bet on one line

This is the heart of a numbers-first decision: weigh every outcome by how likely it is, times what it pays. A bet is worth taking when the probability-weighted payoff beats the cost — **regardless of how any single outcome feels.**

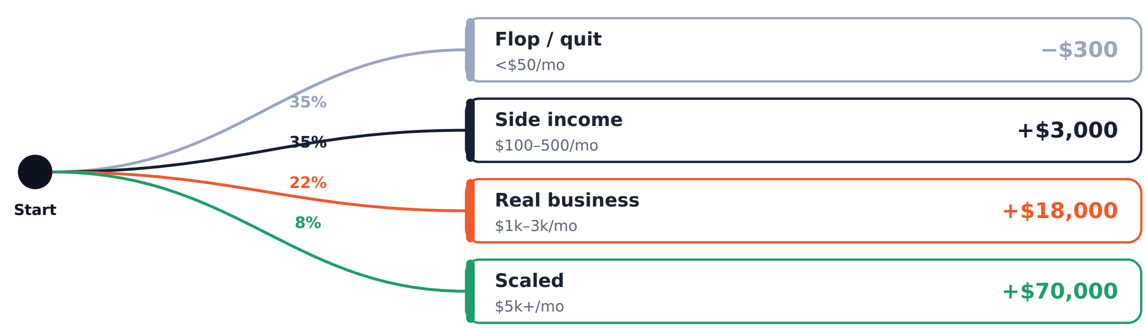

Figure 4 — Probability-weighted outcomes over a 2-year horizon (effort-adjusted estimates).

Outcome	2-yr value	Effort-adjusted odds	Naive base-rate odds
Flop / quit (<$50/mo)	−$300	35%	65%
Side income ($100–500/mo)	+$3,000	35%	20%
Real business ($1k–3k/mo)	+$18,000	22%	12%
Scaled ($5k+/mo)	+$70,000	8%	3%

Outcome	2-yr value	Effort-adjusted odds	Naive base-rate odds
Expected value		**+$10,505**	**+$4,665**

The number that decides it

Even on **pessimistic, unadjusted base-rate odds** (treating you like the average quitter), the expected value is **+$4,665**. On effort-adjusted odds it is **+$10,505**. Against a maximum downside under $600, both are strongly positive. **A bet with a small capped loss and a large expected gain is one you take.** The asymmetry — not optimism — is the reason.

Why the asymmetry exists

- **Downside is bounded** by zero inventory and cancellable tools: ~$200–$600, full stop.
- **Upside is uncapped and compounding:** every winning design keeps selling for years and can be cloned across products and channels.
- **The asset has resale value:** profitable POD/ecom brands sell for multiples of annual profit — a scaled outcome is worth more than its cash flow.

5 · The true cost — your hours, honestly priced

Cash is not the real cost here; **your attention is** — especially while running two other businesses. So price it. This is the number feelings always skip.

Figure 5 — Effective $/hour over time (base case). It starts brutal and climbs steeply as the asset compounds.

Phase	Hours / week	Profit / mo	Effective $/hr	What you're really doing
Setup sprint (m1–2)	7–8	≈ $0	< $1	Building the asset; wage is near zero
Ramp (m3–6)	5–6	$16–150	$1–6	Finding winners; data > dollars
Traction (m7–12)	4–5	$200–490	$10–30	Compounding; now it pays

Phase	Hours / week	Profit / mo	Effective $/hr	What you’re really doing
Scaled (yr 2)	3–4 (+ VA)	$1.5k–6k	$75–150+	Mostly leverage & oversight

The honest trade

For the first ~3 months you are effectively **working for free** to build an asset. If you need the next 90 days to pay an hourly wage, the numbers say **don’t**. If you can spend front-loaded, *batchable* hours that your agents amplify — while your two proven engines carry the income — the numbers say this is one of the best uses of otherwise idle ‘waiting’ time you have.

Opportunity cost vs your other two businesses

Engine	Capital to start	Margin	Time after setup	Status
NicheQuill / PDF	~$0	~95%	Very low	Built, launching
Business #2 (Shopify)	low	high	low–med	Staging for Friday
Quillmark POD	$15–$150	30–42%	Med, front-loaded	Decision now

Quillmark’s marginal hours are highest early and shrink fast. Because the work batches and the agents do steps 2–4, it competes far less for your hours than a normal third job would.

6 · Sensitivity — which number actually moves the outcome

If numbers decide, then knowing **which** number matters most tells you where to spend every hour. Here is what swings Year-1 profit, ranked.

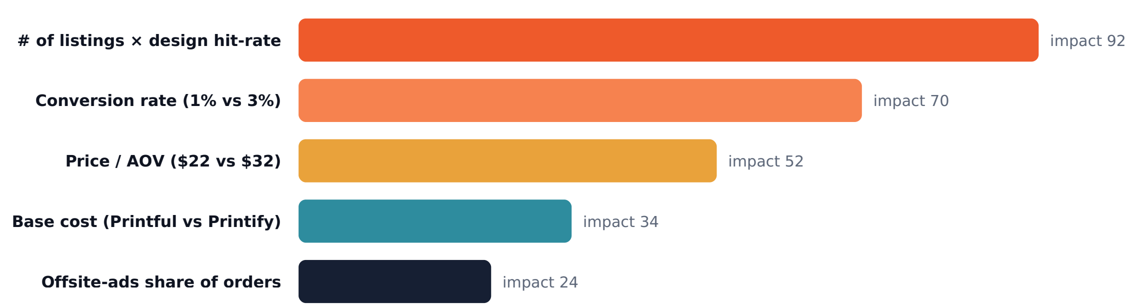

Figure 6 — Sensitivity of Year-1 profit to each input. Volume × niche fit dominates.

Lever	Why it dominates	Your move
# listings × design hit-rate	More quality listings = more search surface & more ‘tickets’; this is multiplicative	Ship volume in validated niches (agents make this cheap)
Conversion rate	1% → 3% triples orders on the same traffic	Great mockups, reviews, clear listings
Price / AOV	Bumps & bundles lift profit per order directly	Add order bumps; tier products
Supplier base cost	Printify vs Printful is ~$2.78/tee	Default to the cheapest reliable blank
Offsite-ads share	Only bites above $10k/yr (then 12% locked)	Drive your own traffic so attribution is yours

The one-sentence strategy the numbers imply

Put your effort into **volume of quality listings in specific niches** — everything else is a rounding error by comparison. This is precisely what an agent pipeline is good at, which is why the model fits you.

7 · The decision — numbers to verdict

Put it together. A bet is rational when the downside is bounded and survivable, the expected value is positive, and you can pay the true cost. Score it:

Test	Threshold	Quillmark	Pass?
Max cash at risk	< one month's slack	~$150–$600	YES
Can you survive the worst case?	Lose it all = fine	Yes, trivially	YES
Expected value positive?	> 0 on pessimistic odds	+$4,665 to +$10,505	YES
Payback period	< 12 months (base)	~month 6	YES
Does it steal from proven engines?	Must not	Batchable + agent-run	CONDITIONAL
Can you fund the free first 90 days?	Time, not cash	Your call	CONDITIONAL

The verdict

GO — as a capped, asset-building bet (not a wage, not a bet-the-farm)

The numbers clear every financial bar with room to spare: bounded ~$200–$600 downside, +$4.7k–$10.5k expected value, ~6-month payback. The only real cost is front-loaded, batchable hours — which you can spend during the current 'waiting' phase without pulling from NicheQuill or business #2. **Proceed on the lean path.**

The conditions (so the bet stays rational)

- **Cap the cash.** Start lean (<$50). Do not spend on ads until a design is proven.
- **Protect the engines.** Quillmark gets batched/agent hours only; the two proven businesses keep priority.
- **Judge on leading indicators** at day 30/60/90 — reach, listings shipped, first reviews, a repeatable content→sale loop — not on early revenue.

Kill criteria (decide now, in numbers, so feelings don't)

By	If you have NOT…	Then
Day 30	shipped 25+ listings & made 1+ sale	fix execution (likely volume/SEO), not the model
Day 90	reached ~$100–$300/mo & found 1 design that reliably sells	pause new effort; keep winners live as passive assets
Month 6	crossed cash break-even on the lean path	stop reinvesting; do not scale a model that isn't converting

Prove-before-clone (the portfolio rule)

This GO is for **one** instance, funded lean. Do not clone the model into a 4th/5th business until either Quillmark or NicheQuill has pulled real, repeatable revenue. The expected value above assumes a single small bet; stacking five unproven bets multiplies risk, not income.

Sources

Figures grounded in current (2026) web research, not memory. Self-reported / blog benchmarks vary; treat as planning estimates.

- Etsy fees 2026 (listing $0.20, 6.5% transaction, 3%+$0.25 US payment, 12–15% offsite ads): Etsy Fees & Payments Policy; Gelato; Craftybase; Voolist.
- Base costs & margins (Printify vs Printful, ~40% standard margin, Bella+Canvas $9.04 vs $11.69): Printify t-shirt pricing guide; printondemandbusiness.com; Merch Titans.
- Outcomes (65% of Etsy sellers earn <$100/yr; $2,200–$8,000 year-one active; most POD shops a few hundred $/mo): Printful; Insight Agent; printkk Etsy statistics.
- Conversion (1–3% good Etsy average): Merchize; Gelato; Listybox.

Companion to **Quillmark POD — The Built-In Package** and the **Founder Brief & 5-Year Board Plan**. A decision aid, not financial or legal advice; verify live fees/costs before committing spend.